Syllabus Edition
First teaching 2025
First exams 2027

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Users of Accounts

Exam code: 0450, 0986 & 0264, 0774

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Internal users of accounts

- The financial accounts of a **limited liability** business need to be submitted to Companies House each year
  - **Public Limited Companies** need to have their accounts **audited** before they publish them
- A range of **internal stakeholders** use business accounts for different purposes

Business owners

- **Sole traders** and **partners** use financial accounts for several reasons
  - To check if the business is making enough profit
  - To see if the business can pay short-term debts
  - To plan for growth or reduce costs
- **Shareholders** also use accounts to discover
  - How profitable the company is, compared to the investment they have made
  - To decide whether to sell or keep their shares
  - To assess whether the company is in a position to pay dividends

Managers

- Financial accounts and ratio analysis are crucial to help managers:
  - Measure business performance and set future targets
  - Make decisions, such as whether to cut costs or invest in new products
  - Identify problems early (e.g. falling liquidity or high debts)
  - Compare with competitors or past performance

Employees

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

they have job security
    - See if the business is profitable or liquid enough to award pay rises or bonuses

Help me understand

Examiner Tips and Tricks

Don't assume accounts are only for owners – examiners expect you to recognise other users such as employees, banks, suppliers, and government, each with different information needs

External users of accounts

Suppliers

- Suppliers can use financial accounts to determine if the business can pay its bills on time
    - They consider the **current ratio** to see if a customer has enough cash or short-term assets to cover what they owe
- If the business is struggling, suppliers may
    - Ask for payment in advance
    - Refuse to give trade credit

Government

- Governments will use accounts and ratio analysis to check that
    - The business is paying the correct amount of **tax**
    - The business is **following laws** such as those for financial reporting
- They will also, on a broader level, monitor business size and performance for **economic planning,** such as the ability to create new jobs

Lenders and banks

- Lenders, including banks, often look very closely at financial accounts to determine
    - Whether to **approve a loan**
    - Whether the business can **repay** a loan
- They use **liquidity ratios**, like the current ratio, and **profitability ratios**, like RoCE, in their decision-making
    - A business with weak liquidity or falling profits may be seen as risky and would likely be refused lending

make decisions

- Financial accounts and ratio analysis can be used to support **strategic decisions**
  - Investment or **divestment** decisions
  - Determining the most profitable option given the level of capital employed
- Using these tools gives a **clear, factual picture** of the business's performance and financial health
  - Financial accounts show real profit, sales and costs data
  - Ratios turn these numbers into useful tools for comparing and spotting problems or strengths
  - They make it easier to compare performance from year to year or with other businesses of a similar size

Worked Example

Faced with increasing costs, Kent & Medway Properties Ltd is looking to close one of its three high-street estate agency branches.

The table below shows some key data for each of the branches.

Branch	Capital employed	Profit before interest and tax
Sevenoaks	£2.4m	£0.37m
Whitstable	£3.1m	£0.57m
Rochester	£2.9m	£0.51m

Calculate the return on capital employed (RoCE) for each branch and recommend which branch, in profitability terms, should close.

(4)

Step 1: Apply the formula to calculate the RoCE for each branch

$$\text{RoCE} = \frac{\text{Profit before interest and tax}}{\text{Capital employed}} \times 100$$ [1]

$$\text{RoCE Sevenoaks} = \frac{£0.37\text{m}}{£2.4\text{m}} \times 100 = 15.42\%$$

$$\text{RoCE Whitstable} = \frac{£0.57\text{m}}{£3.1\text{m}} \times 100 = 18.39\%$$ [1]

$$\text{RoCE Rochester} = \frac{£0.51\text{m}}{£2.9\text{m}} \times 100 = 17.59\%$$ [1]

Step 2: Identify the least profitable branch for closure

Limitations of using accounts and ratio analysis

- While financial accounts and ratios are useful in decision-making, they are **not perfect** for several reasons

They use past data

- Financial accounts show what has already happened
- Ratios are based on past performance, not future results
- Conditions can quickly change (e.g. new competitors, economic shocks), so past data may not help predict what will happen next

They do not show the full picture

- Accounts do **not explain why** figures changed
- Ratios cannot measure **non-financial factors** such as
  - Employee motivation
  - Customer satisfaction
  - Product quality
- Important business problems may be missed if only financial data is used.

Data can be manipulated

- Businesses might make their accounts look better than they really are by delaying payments or hiding debts
- Decisions based on false or adjusted data can lead to poor outcomes

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